

FITNESS CLUB PERFORMANCE ANALYSIS

Business Performance Review | January 2025 – June 2025

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EXECUTIVE SUMMARY

This project analysed the operational and financial performance of a fitness club over a six-month period. The objective was to identify the factors limiting revenue growth, evaluate customer acquisition and retention performance, and provide data-driven recommendations to improve profitability and long-term member value.

The analysis identified customer retention as the primary business challenge. While customer acquisition remained highly profitable, increasing churn rates were reducing membership growth and creating significant revenue leakage.

BUSINESS PROBLEM

Despite continued acquisition of new members, revenue growth appeared to be slowing over time.

Management wanted to understand:

- Whether membership growth remained sustainable.
- If customer retention was becoming a concern.
- How efficiently marketing spend was generating customers.
- What actions could improve business performance.

DASHBOARD OVERVIEW

Active Members	Monthly Revenue	Churn rate	Retention rate	Revenue per member
499	£36,250.00	8.15%	91.85%	£72.65

Figure 1. Executive dashboard displaying membership trends, churn performance, revenue breakdown, and customer acquisition efficiency.

The dashboard was designed to provide management with a clear view of operational performance and support data-driven decision-making.

KEY FINDING #1 – INCREASING CUSTOMER CHURN

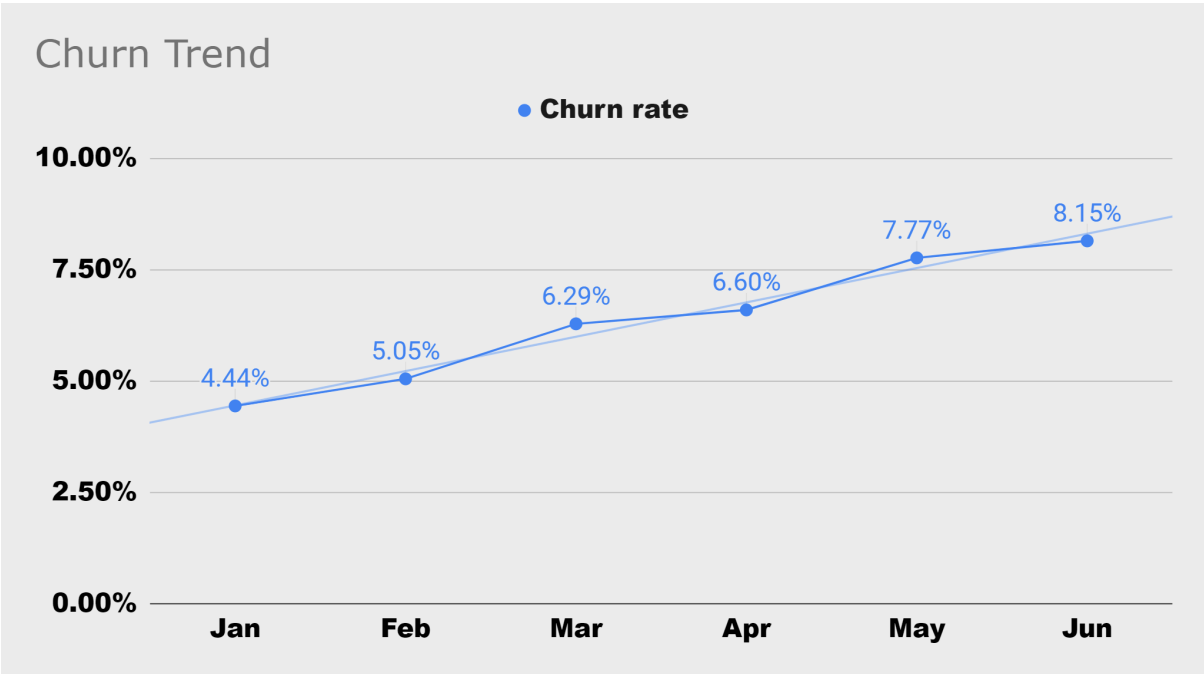


Figure 2. Churn Rate Trend

Monthly churn increased from 4.44% in January to 8.15% in June.

This represents an 83% increase in customer cancellations during the analysis period and indicates a significant deterioration in member retention.

Business Impact:

Increasing customer attrition creates pressure on membership growth and directly impacts recurring revenue.

KEY FINDING #2 – MEMBERSHIP GROWTH HAS STALLED

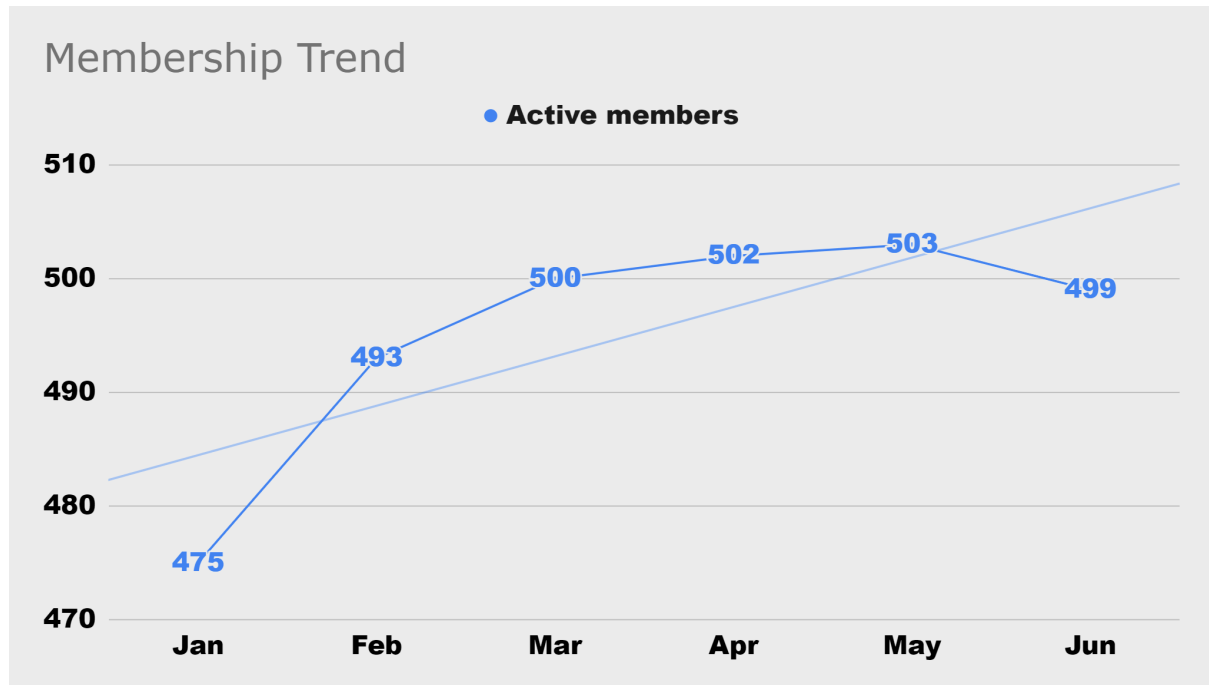


Figure 3. Active Membership Trend

Active membership increased steadily during the first five months, reaching a peak of 503 members in May.

However, membership growth stagnated during Q2 and declined to 499 members in June, suggesting that rising churn is beginning to offset new member acquisition.

Business Impact:

Without improvements in retention, future membership growth is likely to remain constrained.

KEY FINDING #3 – REVENUE PER MEMBER REMAINED STABLE

Average revenue per member remained relatively stable at approximately £72 throughout the analysis period.

While this indicates consistent spending behaviour, it also suggests limited success in increasing customer value through upselling initiatives such as personal training, premium memberships, or supplementary products.

Business Impact:

The business may be missing opportunities to increase revenue without acquiring additional members.

KEY FINDING #4 – CUSTOMER ACQUISITION REMAINS HIGHLY PROFITABLE

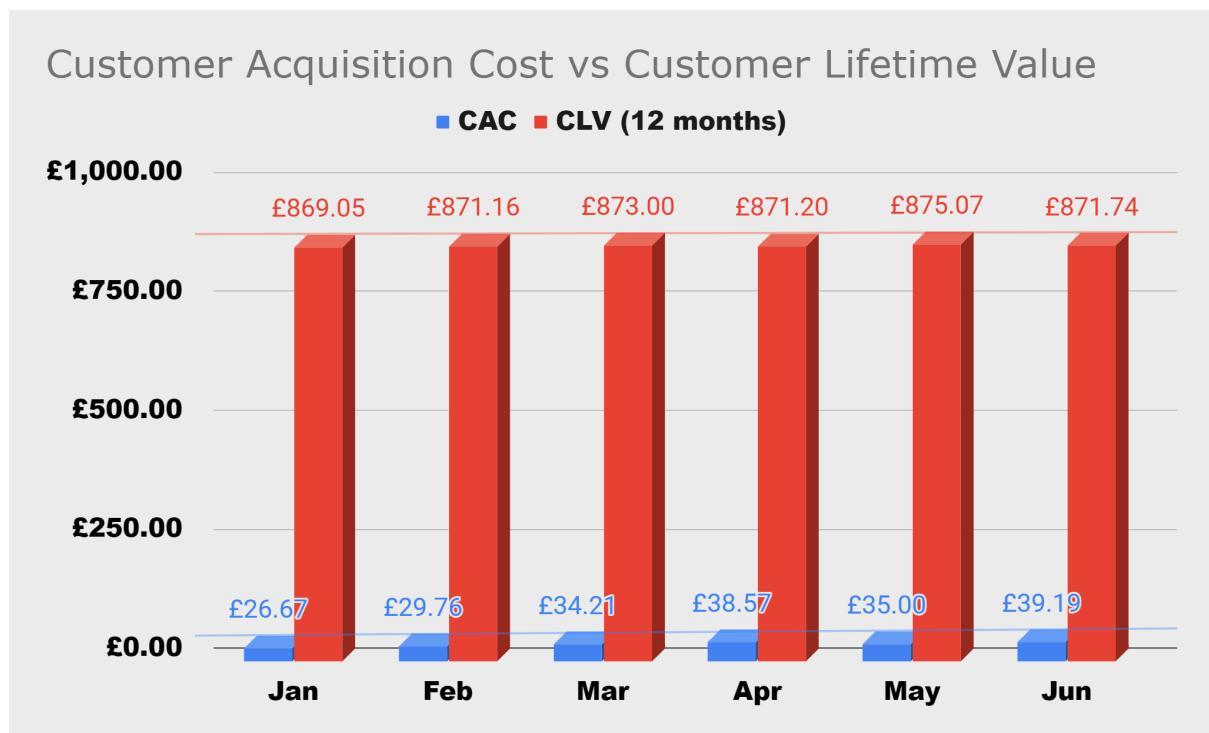


Figure 4. Customer Acquisition Cost vs Customer Lifetime Value

Customer Lifetime Value averaged approximately £872 while Customer Acquisition Cost remained between £34 and £39.

This indicates that acquisition activities continue to generate a strong return on investment and are not the primary constraint on business growth.

Business Impact:

Improving retention is likely to generate a higher return than increasing acquisition spending.

REVENUE ANALYSIS

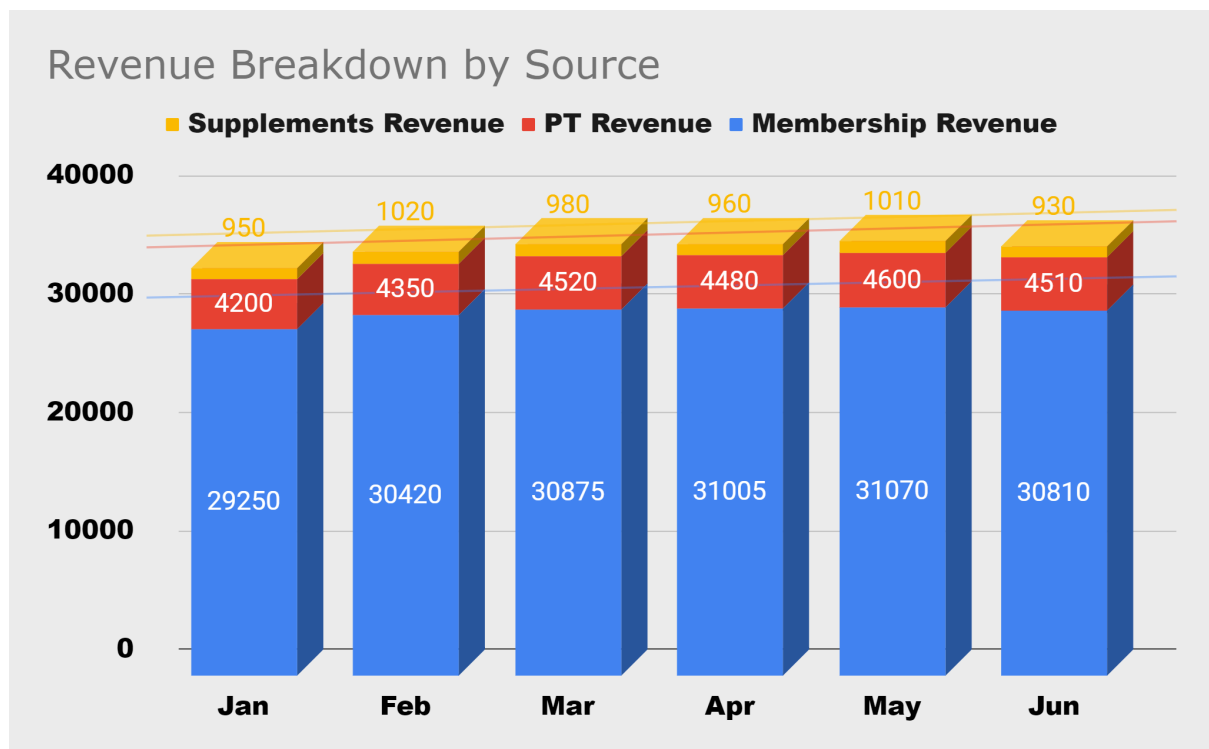


Figure 5. Revenue Breakdown by Source

Analysis of revenue streams showed that membership revenue remained the dominant contributor to total revenue.

Personal Training revenue demonstrated moderate growth, while supplement sales remained a relatively small portion of overall income.

Business Impact:

The business remains heavily dependent on membership revenue and may benefit from expanding secondary revenue streams.

FINANCIAL IMPACT

The business lost 41 members during June.

Based on average revenue per member (£72.65), this represents approximately £2,978 in monthly recurring revenue.

If current churn levels persist, estimated annual revenue leakage could exceed £35,700.

This demonstrates the financial importance of improving member retention and reducing cancellations.

RECOMMENDATIONS

1. Implement Member Retention Initiatives

Develop targeted retention campaigns focused on members showing signs of disengagement.

2. Improve Member Engagement Monitoring

Track attendance frequency and engagement levels to identify at-risk members before cancellation.

3. Introduce a Structured Follow-Up Process

Establish proactive communication with inactive members through email, phone, or app notifications.

4. Investigate Causes of Churn

Collect cancellation reasons and customer feedback to identify the root causes of attrition.

5. Increase Revenue Per Member

Expand upselling opportunities through personal training packages, premium memberships, nutrition services, and retail products.

ADDITIONAL DATA REQUIRED

The current dataset provides visibility into membership and revenue performance; however, additional data would be required to determine the root causes of increasing churn.

Recommended data sources include:

- Member attendance frequency
- Membership type and pricing plan
- Cancellation reasons
- Customer satisfaction surveys
- Personal training participation rates
- Peak-hour gym usage data

Further analysis would allow more accurate identification of retention drivers and operational improvement opportunities.

ASSUMPTIONS

The following assumptions were applied during the analysis:

- Customer Lifetime Value was calculated using an assumed average customer lifespan of 12 months.
- Revenue Per Member was calculated using total revenue divided by active members.
- Customer Acquisition Cost was based on marketing expenditure only.
- Membership and revenue data were assumed to be accurate and representative of the reporting period.
- Revenue leakage estimates assume current churn levels continue without intervention.

TOOLS USED

- Microsoft Excel
- KPI Analysis
- Dashboard Development
- Business Performance Analysis
- Financial Analysis
- Data Storytelling

PROJECT OUTCOME

This analysis identified customer retention as the primary business challenge affecting performance.

While customer acquisition remained efficient and profitable, rising churn rates were limiting membership growth and creating significant revenue leakage.

The project demonstrates how operational and financial data can be transformed into actionable business insights that support strategic decision-making and business improvement.